GDP is its best indicator.

When the value added grows, the GDP grows. The value added is generated by labour, machines/technology and enterprise, within the ecosystem of economic policies framed and implemented by the government.

The value added or GDP translates to income for households, profits for capital and taxes for governments. Income accumulated grows in wealth. Therefore, all income and wealth flows from GDP. If GDP grows, income, profits and taxes also grow. Wealth grows.

Households spend the income earned on consumption that drives the demand function of the economy. Entrepreneurs invest their profits/capital and the credit they avail in buildings, machines and technology to produce more goods and services. This drives investment demand. The GDP, in all its three dimensions of value added, income and expenditure, and its growth, is extremely important for the maintenance of health and nutrition standards, quality of life and prosperity of the people.

Second, human resources (labour) and capital (enterprise and technology) are the two real factors of production in today's economy. Land, natural resources and financial capital are no longer binding constraints for growing the GDP of a nation.

All human beings are endowed with two natural resources: they have organs and muscle (physical ability) and brain and mind (intelligence); though these endowments vary at an individual level. Physical abilities can be nourished or dissipated by the actions of individuals, families and societal nurturing. Intelligence can be used to acquire knowledge and skills. Human beings (labour) work to produce all goods and services with the help of tools, machines and technology using their physical abilities and intelligence. Human beings are the primary factor of production adding value in the economy and are exclusive consumers of the value added. The